EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Allacapan, Province of Cagayan started as a district of the Municipality of Taoit, Mountain Province in 1926. It was ceded to Cagayan in 1928 and became a regular Municipality in 1945 by virtue of Commonwealth Act 5904. Allacapan is a third-class municipality as per income class and is composed of 27 barangays, with a total population of 38,806 in 6,572 households (Actual data from the MHO based on BHW Census 2018). It is one of the municipalities in the north located about 25 kilometers west of the Magapit Suspension Bridge.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Allacapan for CY 2021 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSASs), and whether prevailing laws, rules and regulations have been complied with and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriation, allotments and obligations of the Municipality of Allacapan, Cagayan for the year ended December 31, 2021, with comparative figures for CY 2020, are as follows:

Particulars	2021	2020	Increase/ (Decrease)
Financial Position			
Assets	410,866,714.48	416,508,768.40	(5,642,053.92)
Liabilities	49,078,676.48	76,069,876.30	(26,991,199.82)
Government Equity	361,788,038.00	340,438,892.10	21,349,145.90
Financial Performance			
Income	186,693,544.95	188,154,279.78	(1,460,734.83)
Expenses	164,634,523.21	157,562,114.26	7,072,408.95
Appropriations, Allotments and Obligation			
Appropriations	198,591,764.00	204,674,549.00	(6,082,785.00)
Allotments	198,591,764.00	204,674,549.00	(6,082,785.00)
Obligations	176,071,835.01	170,876,799.29	5,195,035.72

C. Independent Auditor's Opinion on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Allacapan, Cagayan for the year-ended December 31, 2021 due to the following:

1. The accuracy and reliability of the reported balance of Property, Plant and Equipment account amounting to P299,409,571.76 as of December 31, 2021 cannot be determined due to: (1) non-conduct of physical count of all items of PPE; (2) non-maintenance of Property Cards for PPE; and (3) non-conduct of the one-time cleansing procedures in its physical inventory, which are contrary to COA Circular 2020-006 dated January 31, 2020 and Sections 114 and 124 of the Manual on the New Government Accounting System for LGUs, Volume I, thus, affecting the fair presentation of the LGU's financial statements.

2. The accuracy of the Road Networks account balance totaling P126,716,087.66 as at December 31, 2021 cannot be established due to: (1) failure to conduct verification of the existence of the local road network; (2) absence of Local Road Network Property Cards for all local roads; and (3) lack of disclosure in the Notes to Financial Statements on the total road network system, contrary to COA Circular No. 2015-008 dated November 23, 2015, thus, affect the reliability and fair presentation of the account in the financial statements.

D. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. The payments made by the Municipality for COVID-19 Special Risk Allowance amounting to P 1,804,318.18 were not supported with the required supporting documents, contrary to Section 4 of the Presidential Decree No. 1445 and DBM-DOH Joint Circular No. 2 dated November 25, 2020, hence, the propriety and validity of the grant of the said allowance cannot be ascertained.

   We recommended that the Management ensure that payments for the SRA are supported with relevant and pertinent documents pursuant to Section 4 of PD 1445 to establish compliance with the conditions set under AO No. 36 dated November 16, 2020 and DBM – DOH Joint Circular No. 2, s. 2020 dated November 25, 2020.

2. Completed Infrastructure Projects funded from fund transfers from various government agencies amounting to P92,915,844.89 were not recognized in the books of the Municipality, contrary to PPSAS 17, hence, proper accountability thereof could not be established.

We recommended that the Municipal Accountant draw Journal Entry Vouchers to recognize the various completed infrastructure projects funded from the fund transfers in accordance with PPSAS 17.

E. Summary of Total Suspension, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	
Disallowances					
Prior Years	2,694,076.02	-	-	2,694,076.02	0.00%
Current Year	-	-	-	-	-
Total	**2,694,076.02**	**-**	**-**	**2,694,076.02**	**0.00%**
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the seven (7) audit recommendations embodied in the CY 2020 Annual Audit Report, five (5) were fully implemented and two (2) were not implemented and reiterated in Part II of this Report.